

SAMPLE ANSWERS AND EXAMINER'S REPORT – SPRING 2019 EXAM 7

SPRING 2019 EXAM 7 EXAMINER'S REPORT

The Syllabus and Examination Committee has prepared this Examiner's Report as a tool for candidates preparing to sit for a future offering of this exam. The Examiner's Report provides:

- A summary of exam statistics.
- General observations by the Syllabus and Examination Committee on candidate performance.
- A question-by-question narrative, describing where points were commonly achieved and missed by the candidates.

The report is intended to provide insight into what the graders for each question were looking for in responses that received full or nearly-full credit. This includes an explanation of common mistakes and oversights among candidates. We hope that the report aids candidates in mastering the material covered on the exam by providing valuable insights into the differences between responses that are comprehensive and those that are lacking in some way.

Candidates are encouraged to review the Future Fellows article from June 2013 entitled ["Getting the Most out of the Examiner's Report"](#) for additional insights.

EXAM STATISTICS:

- Number of Candidates: 880
- Available Points: 54.75
- Passing Score: 40.5
- Number of Passing Candidates: 380
- Raw Pass Ratio: 43.2%
- Effective Pass Ratio: 45.0%

GENERAL COMMENTS:

- Candidates should note that the instructions to the exam explicitly say to show all work; graders expect to see enough support on the candidate's answer sheet to follow the calculations performed. While the graders made every attempt to follow calculations that were not well-documented, lack of documentation may result in the deduction of points where the calculations cannot be followed or are not sufficiently supported.
- Integrative Questions (IQs) were first introduced to Exam 7 in 2018 and are being used to test candidates' ability to apply and synthesize multiple advanced reserving, valuation, and/or ERM ideas in addressing complex business problems. The IQ this sitting was based on a real-world scenario and was designed to test multiple syllabus learning objectives at higher cognitive (Bloom's) levels. Candidates should expect to encounter similar sorts of questions in future sittings.

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- Candidates should justify all selections when prompted to do so. For example, if the candidate selects an all year average and the question prompts a justification of all selections, a brief explanation should be provided for the reasoning behind this selection. Candidates should note that a restatement of a numerical selection in words is not a justification.
- Incorrect responses in one part of a question did not preclude candidates from receiving credit for correct work on subsequent parts of the question that depended upon that response.
- Candidates should try to be cognizant of the way an exam question is worded. They must look for key words such as “briefly” or “fully” within the problem. We refer candidates to the Future Fellows article from December 2009 entitled [“The Importance of Adverbs”](#) for additional information on this topic.
- Some candidates provided lengthy responses to a “briefly describe” question, which does not provide extra credit and only takes up additional time during the exam.
- Candidates should note that the sample answers provided in the examiner’s report are not an exhaustive representation of all responses given credit during grading, but rather the most common correct responses.
- In cases where a given number of items were requested (e.g., “three reasons” or “two scenarios”), the examiner’s report often provides more sample answers than the requested number. The additional responses are provided for educational value, and would not have resulted in any additional credit for candidates who provided more than the requested number of responses. Candidates are reminded that, per the instructions to the exam, when a specific number of items is requested, only the items adding up to that number will be graded (i.e., if two items are requested and three are provided, only the first two are graded).
- It should be noted that all exam questions have been written and graded based on information included in materials that have been directly referenced in the official syllabus, which is located on the CAS website. The CAS takes no responsibility for the content of supplementary study materials and/or manuals produced by outside corporations and/or individuals which are not directly referenced in the official syllabus.